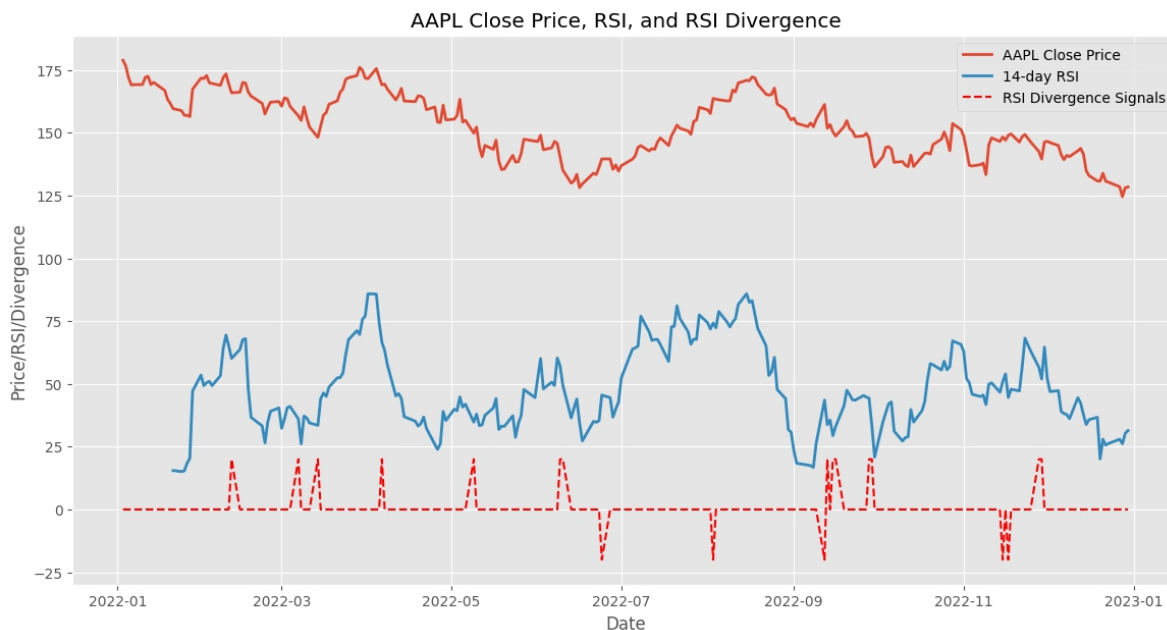




This simplified divergence detection algorithm looks for:

- **Bullish Divergence:** Price making lower lows while the indicator makes higher lows (potential upside reversal)
- **Bearish Divergence:** Price making higher highs while the indicator makes lower highs (potential downside reversal)

Divergences are particularly valued by professional traders because they often precede significant price movements. However, they can be subjective to identify, making algorithmic detection challenging but potentially rewarding.

Overbought and Oversold Conditions: Extremes in Market Sentiment

Oscillators like RSI and Stochastic are often used to identify extreme market conditions that may precede reversals.

1. # Identify overbought and oversold conditions